

finance that will give you the confidence to competently navigate life and avoid the financial pitfalls that doom so many Americans.

I have seen my students, who provided the sometimes funny, sometimes poignant quotations at the beginning of each chapter, go from financially clueless teenagers to financially savvy young adults each year in my course, and I believe this book can do the same for you.

In short, this book is about managing money, understanding finance, and helping you grow your wealth. I sincerely hope all of you can become wealthy and accomplish your financial goals. What I have realized, however, is that my idea of wealth and the financial goals I had when I was a teenager were totally unrealistic or misguided. So before we begin, it is important to understand what being wealthy actually looks like.

Growing up, I thought being rich was way more extravagant than it actually is. I thought all rich people drove luxury vehicles, lived in gigantic houses, and wore designer clothes. While some rich people do these things, the majority of wealthy people in America drive boring cars, live in modest homes, and dress like old people. I also thought all rich people made millions of dollars every year. Wrong again. I now know a person who makes \$50,000 per year can be significantly wealthier than a person who makes \$150,000 per year, depending on their spending habits and lifestyles. Becoming and staying wealthy requires discipline, time, and smart decisions.

Here is an example of what a rich 50-year-old might look like: they have a steady but average job, an unexciting house that is completely paid off, no debt of any kind, a fully funded emergency account, money to pay for their kids' college (if they have kids), and a couple hundred thousand dollars in a retirement fund that they have been slowly and steadily contributing to for 25